Market Risk

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1

Application and Definitions

1.1

This Part applies to:

1. (1) every *firm* that is a *CRR firm*; and
2. (2) a *CRR consolidation entity*.

- 17/09/2021
- Past version of 1.1 before 17/09/2021

1.1A

1. (1) a *firm* must comply with this Part on an individual basis.
2. (2) a *CRR consolidation entity* must comply with this Part on a *consolidated basis*, and for this purpose, references to a *firm* in this Part (other than in 1.1 and 1.1A) mean a *CRR consolidation entity*.

- 17/09/2021

1.2

In this Part the following definitions shall apply:

convertible bond

means a *security* which gives the investor the right to convert the security into a *share* at an agreed price on an agreed basis.

equity

means a *share*.

security

has the meaning specified in Article 3(1) of the *Regulated Activities Order*.

share

means the investment specified in Article 76 of the *Regulated Activities Order*.

- 01/01/2014

1.3

Unless otherwise defined, any italicised expression used in this Part and defined in the *CRR* has the same meaning as in the *CRR*.

- 01/01/2014

2

Use of Internal Models: Risk Capture

2.1

A *firm* which has a permission to use internal models in accordance with Title IV, Chapter 5 of the *CRR*:

1. (a) must identify any material risks, or risks that when considered in aggregate are material, which are not captured by those models; and
2. (b) must ensure that it holds *own funds* to cover those risk(s) in additional to those required to meet its *own funds* requirement calculated in accordance with Title IV, Chapter 5 of the *CRR*.

- 01/01/2014

3

Netting: Convertible Bonds

3.1

For the purposes of Article 327(2) of the *CRR*, the netting of a *convertible bond* and an offsetting position in the instrument underlying is permitted. The *convertible bond* shall be:

1. (a) treated as a position in the *equity* into which it converts; and
2. (b) the *firm's* *own funds* requirement for the general and specific risk in its *equity* instruments shall be adjusted by making:
   1. (i) an addition equal to the current value of any loss which the *firm* would make if it did convert to *equity*; or
   2. (ii) a deduction equal to the current value of any profit which the *firm* would make if it did convert to *equity* (subject to a maximum deduction equal to the *own funds* requirements on the notional position underlying the *convertible bond*).

- 01/01/2014

4

Instruments for Which No Treatment Specified

4.1

Where a *firm* has a position in a *financial instrument* for which no treatment has been specified in the *CRR*, it must calculate its *own funds* requirement for that position by applying the most appropriate *rules* relating to positions that are specified in the *CRR*, if doing so is prudent and appropriate, and if the position is sufficiently similar to those covered by the relevant *rules*.

- 01/01/2014

4.2

A *firm* must document its policies and procedures for calculating own funds for such positions in its *trading book policy statement*.

- 01/01/2014

4.3

If there are no appropriate treatments the *firm* must calculate an *own funds* requirement of an appropriate percentage of the current value of the position. An appropriate percentage is either 100%, or a percentage that takes into account the characteristics of the position.

- 01/01/2014

4.4

For the purposes of this rule, *trading book policy statement* means the statement of policies and procedures relating to the *trading book*.

- 01/01/2014